

25STCV09082 25STCV09082

County: los-angeles

Division: Civil Law and Motion

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Case Number: 25STCV09082 Hearing Date: September 16, 2026 Dept: 511

Tentative Ruling

Judge Upinder S.

Kalra, Department 511

HEARING DATE: September

16, 2026

CASE NAME: Carmen

E. Rivas, et al. v. Specialized Loan Servicing, LLC, et al.

CASE NO.: 25STCV09082

MOTION

FOR TERMINATING SANCTIONS

MOVING PARTY: Defendant

Newrez LLC dba Shellpoint Mortgage Servicing fka Specialized Loan Servicing,
LLC

RESPONDING PARTY(S): None

REQUESTED RELIEF:

1. An

order for terminating sanctions against Plaintiffs in the form of dismissal of
the complaint with prejudice for willful failure to comply with their discovery
obligations.

TENTATIVE RULING:

1. Motion

for terminating sanctions is GRANTED.

STATEMENT OF MATERIAL FACTS AND/OR PROCEEDINGS:

On March 27, 2025, Plaintiffs Carmen E. Rivas and Yecica P. Rivas (Plaintiffs) filed a Verified Complaint against Defendants Specialized Loan Servicing, LLC and Newrez, LLC dba Shellpoint Mortgage Servicing (fka Specialized Loan Servicing, LLC) (Defendants) with six causes of action for: (1) Wrongful Foreclosure; (2) Violation of Homeowner Bill of Rights; (3) Quiet Title; (4) Constructive Fraud; (5) Intentional Infliction of Emotional Distress; and (6) Declaratory Relief.

According to the Complaint, Plaintiffs owned real property located at 7116 11th Ave., Los Angeles, CA 90043 (the Property) secured by mortgage with Bank of America, N.A. Plaintiffs allege that Bank of America, N.A. transferred the mortgage to Defendants without telling Plaintiffs. Plaintiffs thereafter received documents from Defendants indicating Plaintiffs owed \$30,000 in arrears. Plaintiffs further allege that Defendants proceeded with foreclosure instead of working with Plaintiffs towards resolution.

On April 16, 2025, Plaintiff filed a notice of lis pendens.

On April 22, 2025, Plaintiff filed a Fictitious Name Amendment naming BIV Capital, LLC as DOE 1.

On May 22, 2025, Defendant BIV Capital, LLC filed an Answer. That same date, BIV Capital, LLC also filed a Cross-Complaint against Cross-Defendants Specialized Loan Servicing, LLC and Newrez, LLC (Cross-Defendants) with causes of action for: (1) Breach of Contract; (2) Breach of Fiduciary Duty; (3) Negligence; (4) Negligent Interference with Prospective Economic Relations; (5) Implied and Equitable Indemnity; (6) Contribution; and (7) Declaratory Relief.

On June 20, 2025, Defendant/Cross-Defendant Newrez, LLC (Newrez) filed a demurrer to the complaint and demurrer to the cross-complaint which the court OVERRULED.

On December 16, 2025, Newrez filed answers to the complaint and cross-complaint.

On March 12, 2026, Newrez filed a motion to compel Plaintiffs to sit for deposition and for monetary sanctions which the court GRANTED.

On June 24, 2026, Counsel for Plaintiffs filed a motion to be relieved as counsel which the court GRANTED.

On June 30, 2026, Newrez filed a motion for terminating sanctions. Oppositions were due on or before September 2, 2026. As of September 9, 2026, the court has not received any opposition.

LEGAL STANDARD:

Where a party willfully disobeys a discovery order, courts have discretion to impose terminating, issue, evidence, or monetary sanctions. (Code Civ. Proc., §§ 2023.010(d), (g), 2023.030; R.S. Creative, Inc. v. Creative Cotton, Ltd. (1999) 75 Cal.App.4th 486, 495.)

Code of Civil Procedure § 2030.040 requires that “[a] request for a sanction shall, in the notice of motion, identify every person, party, and attorney against whom the sanction is sought, and specify the type of sanction sought.” Furthermore, the notice of motion shall be supported by a memorandum of points and authorities and accompanied by a declaration setting forth facts supporting the amount of any monetary sanction sought. (Code of Civ. Proc. § 2030.040.)

Monetary sanctions may be imposed “ordering that one engaging in the misuse of the discovery process, or any attorney advising that conduct, or both pay the reasonable expenses, including attorney's fees,

incurred by anyone as a result of that conduct...unless [the Court] finds that the one subject to the sanction acted with substantial justification or that other circumstances make the imposition of the sanction unjust.” (Code of Civ. Proc. § 2030.030(a).)

Issue sanctions may be imposed “ordering that designated facts shall be taken as established in the action in accordance with the claim of the party adversely affected by the misuse of the discovery process. The court may also impose an issue sanction by an order prohibiting any party engaging in the misuse of the discovery process from supporting or opposing designated claims or defenses.” (Code of Civ. Proc. § 2030.030(b).)

Evidence sanctions may be imposed “by an order prohibiting any party engaging in the misuse of the discovery process from introducing designated matters in evidence.” (Code of Civ. Proc. § 2030.030(c).)

In more extreme cases, the court may also impose terminating sanctions by “striking out the pleadings or parts of the pleadings,” “staying further proceedings,” “dismissing the action, or any part of the action,” or “rendering a judgment by default” against the party misusing the discovery process. (Code of Civ. Proc. § 2030.030(d).) The court should look to the totality of the circumstances in determining whether terminating sanctions are appropriate. (Lang v. Hochman (2000) 77 Cal.App.4th 1225, 1246.) Ultimate discovery sanctions are justified where there is a willful discovery order violation, a history of abuse, and evidence showing that less severe sanctions would not produce compliance with discovery rules. (Van Sickle v. Gilbert (2011) 196 Cal.App.4th 1495, 1516.) “[A] penalty as severe as dismissal or default is not authorized where noncompliance with discovery is caused by an inability to comply rather than willfulness or bad faith.” (Brown v. Sup. Ct. (1986) 180 Cal.App.3d 701, 707.) “Although in extreme cases a court has the authority to order a terminating sanction as a first measure [citations], a terminating sanction should generally not be imposed until the court has attempted less severe alternatives and found them

to be unsuccessful and/or the record clearly shows lesser sanctions would be ineffective.” (Lopez v. Watchtower Bible and Tract Society of New York, Inc. (2016) 246 Cal.App.4th 566, 604-605.)

ANALYSIS:

Newrez contends terminating sanctions are appropriate because Plaintiffs have apparently abandoned this case by failing to communicate with their counsel and failing to schedule, let alone sit for, court-ordered depositions. They add that imposing a lesser sanction, which the court has already done via monetary sanction on the motion to compel deposition, would continue to prove ineffective.

Plaintiffs did not file an opposition.

Here, terminating sanctions are warranted. First, Newrez provided evidence showing a pattern of Plaintiffs' nonresponsiveness. (Declaration of Neil J. Cooper ¶¶ 4, 7, 8.; See also Exhibit 5, Exhibit 6.) Second, Plaintiffs did not oppose Newrez's motion to compel depositions and the court granted the motions. (Id. at ¶ 6.) Third, Plaintiffs did not comply with the court's order. (Id. at ¶ 9.) This is clearly a discovery abuse unabated by the imposition of lesser sanctions. As such, the only appropriate remedy is to issue terminating sanctions.

Accordingly, the court GRANTS Newrez's motion for terminating sanctions.[1]

CONCLUSION:

For the foregoing reasons, the Court decides the pending motion as follows:

1. Motion for terminating sanctions is GRANTED.

Moving party is to give notice.

IT IS SO ORDERED.

Dated: September 16, 2026 _____ Upinder
S. Kalra

Judge
of the Superior Court

[1]

The court notes this does not completely dispose of the action since there is a
pending cross-complaint.